MT **Miller Trust Guide**

IN · FREE CHECKLIST

The 7 most common reasons Indiana Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost Indiana families a month of benefits — each with the FSSA citation behind it, so you can verify before you file, not after the denial letter arrives.

> **Read this first — the funding-month rule.** A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. FSSA does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the Indiana private-pay rate — roughly **$8,486–$10,357**. Most families lose a month to this timing gap, not to ineligibility.

The 7 denial traps to check before you file

Every trap below is drawn from FSSA policy. Verify each against the citation shown before you submit the Medicaid application.

1

A resource (not income) is placed in the trust

Only the primary beneficiary's income may be placed in the trust. Per 405 IAC 2-3-29 and §2615.75.15, depositing a resource — savings, a gift, the proceeds of a sale, or another person's money — makes the entire account a countable resource and can push the applicant over the $2,000 resource limit.

Source: IN FSSA Miller Trust template; 405 IAC 2-3-29; IHCP §2615.75.15

2

The trust is not funded in the month income is received

Eligibility for the income disregard begins only the month enough of the applicant's income flows into the QIT. A month in which the income did not go through the trust is not covered — there is no back-dating to before the trust was funded.

Source: IN FSSA Instructional Packet; Miller Trust template

3

Only part of a listed income source is deposited

The trust may receive any or all of the beneficiary's income, but once a source is allocated to the trust, the ENTIRE amount of the income from that source must be deposited into the trust account in the same month it is received. Depositing only part of a listed source (for example, rounding off) breaks compliance for that month.

Source: IN FSSA Miller Trust template; Additional FAQs

4

The trustee fails to distribute on time

The trustee must make the required distributions no later than the last day of the month after the income is received by the trust, in the FSSA priority order (personal needs allowance if the entire income is deposited; community-spouse allowance; the beneficiary's incurred medical expenses; the cost of medical assistance). The account should be largely depleted each month; letting funds accumulate is a defect.

Source: IN FSSA Miller Trust template

5

Missing State-of-Indiana remainder (payback) clause

The trust must state that upon the beneficiary's death the remaining trust property is paid to the Indiana FSSA (the Medicaid agency) up to the total medical assistance Indiana paid. A missing or altered payback clause invalidates the trust; the FSSA template already contains the required clause.

Source: IN FSSA Miller Trust template; IHCP §2615.75.15

6

The trust is not irrevocable

FSSA's template and instructions require the trust to be irrevocable. A revocable trust does not meet FSSA's approval standard for a Miller trust.

Source: IN FSSA Instructional Materials; Miller Trust template

7

Income is assigned to the trust instead of deposited

The beneficiary's income may not simply be assigned to the trust on paper — it must remain the individual's income and actually be delivered into and flow through the trust account each month. A separate, dedicated trust account is required; commingling other funds is not allowed.

Source: IN FSSA Miller Trust template; 405 IAC 2-3-29

How families get every step right the first time

This checklist tells you *what* can go wrong. The full Indiana Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of $2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if FSSA rejects the trust for a reason traceable to following the kit, you get a full refund.

Verify the sources yourself

- Official FSSA template — Indiana Health Coverage Programs Eligibility Policy Manual §2615.75.15 (Certain Trusts Receiving Special Consideration); 405 IAC 2-3-29 (Qualified Income Trust / Miller Trust)
- FSSA policy manual — Indiana Family and Social Services Administration

— James Whitfield, Miller Trust Guide · millertrustguide.com

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